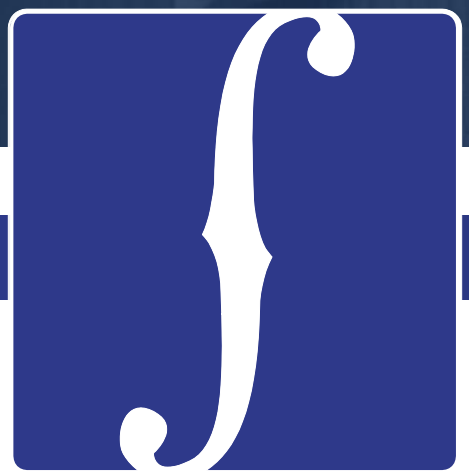




CELLO

Modeling Mortgage Credit Availability

September 2015

Mortgage Credit Availability can be defined as the supply of mortgage credit available for a reference household.

A **Mortgage Credit Availability Index (MCAI)** measures the supply of mortgage credit in a systematic way over time. A change in the MCAI corresponds to either a change in underwriting standards for benchmark mortgage products (**Borrower Risk**) or the introduction/de-emphasis of non-standard mortgage products (**Product Risk**).

Tracking changes in an MCAI is informative from the perspective of the overall strength of the housing market and for tracking structural changes in refinancing efficiency.

A SIMPLE MCAI: TRACKING CHANGES IN COLLATERAL CHARACTERISTICS

Collateral Characteristics on 30-year Conforming Mortgages

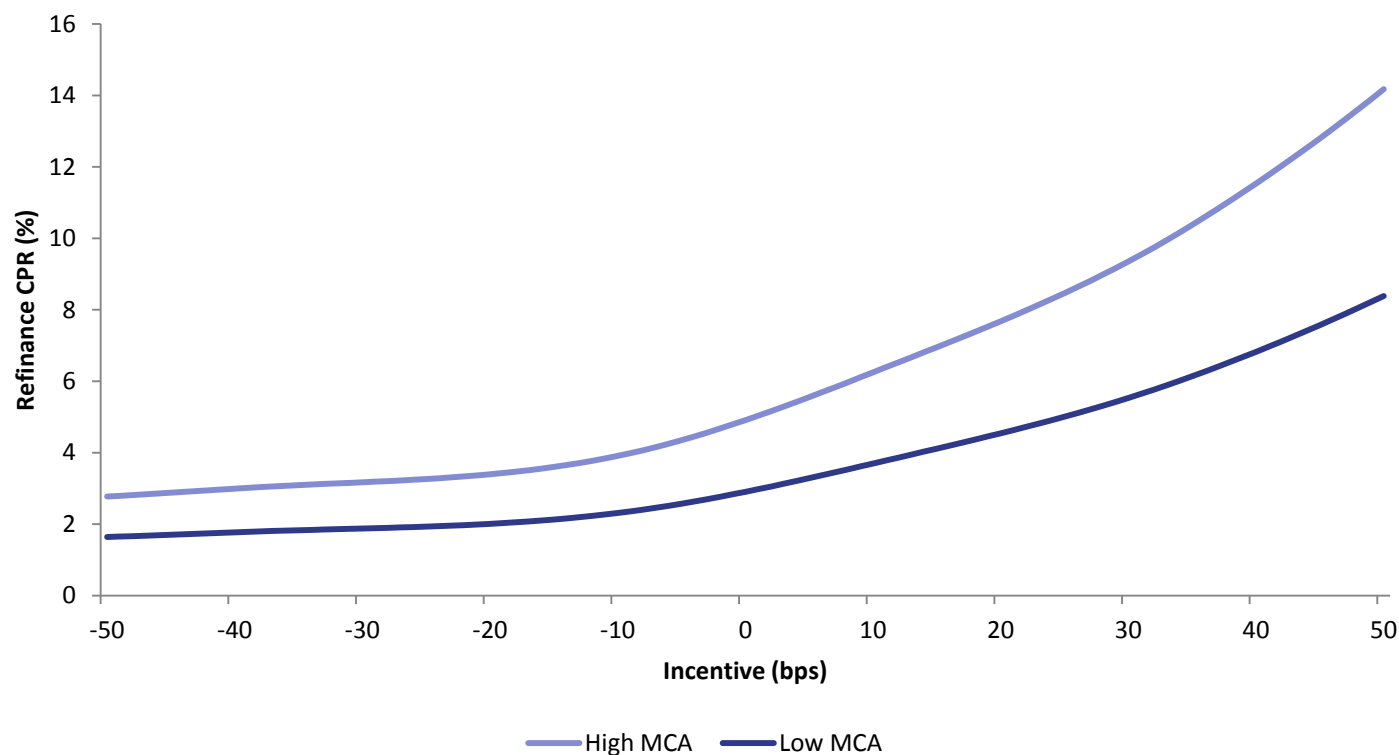
	OLTV Mean	% OLTV > 90	DTI Mean	% DTI > 40	FICO Mean	% FICO < 700
2015-7	83.0	32.9%	34.2	28.5%	752.5	13.8%
2015-6	83.0	32.9%	34.5	29.7%	751.8	14.2%
2015-5	82.9	32.9%	34.6	30.2%	751.4	14.2%
2015-4	82.9	32.9%	34.6	30.2%	750.6	14.7%
2015-3	82.7	31.9%	35.0	32.3%	749.1	16.1%
2015-2	82.8	32.6%	35.0	31.9%	749.2	15.8%
2015-1	82.7	32.0%	34.8	31.2%	749.7	15.6%
2014-12	82.6	31.8%	34.8	31.2%	749.9	15.5%
2014-11	82.8	32.3%	34.8	30.9%	749.7	15.6%
2014-10	82.7	31.6%	34.6	30.1%	750.9	14.7%
2014-9	82.7	31.2%	34.4	29.3%	750.9	14.7%
2014-8	82.8	31.7%	34.3	28.9%	751.5	14.2%
2014-7	82.8	31.9%	34.5	29.2%	751.3	14.3%

Significant extensions and tightenings of MCA are usually associated with housing bubbles/crashes.

An increase in MCA either through relaxing underwriting standards or by introducing new mortgage products allows existing mortgage holders to refinance with less friction than in the past. The opposite holds when MCA decreases.

Variations in MCA levels can create dramatic differences in refinancing efficiency. The figure shows the different levels of refinancing based on the 2003-2004 and 2010-2011 refinancing experience. At 50bps of incentive, the difference in refinancing rates can be as much as 6% CPR. The differences increases as incentives increase.

REFINANCING EFFICIENCY IN DIFFERENT CREDIT AVAILABILITY ENVIRONMENTS

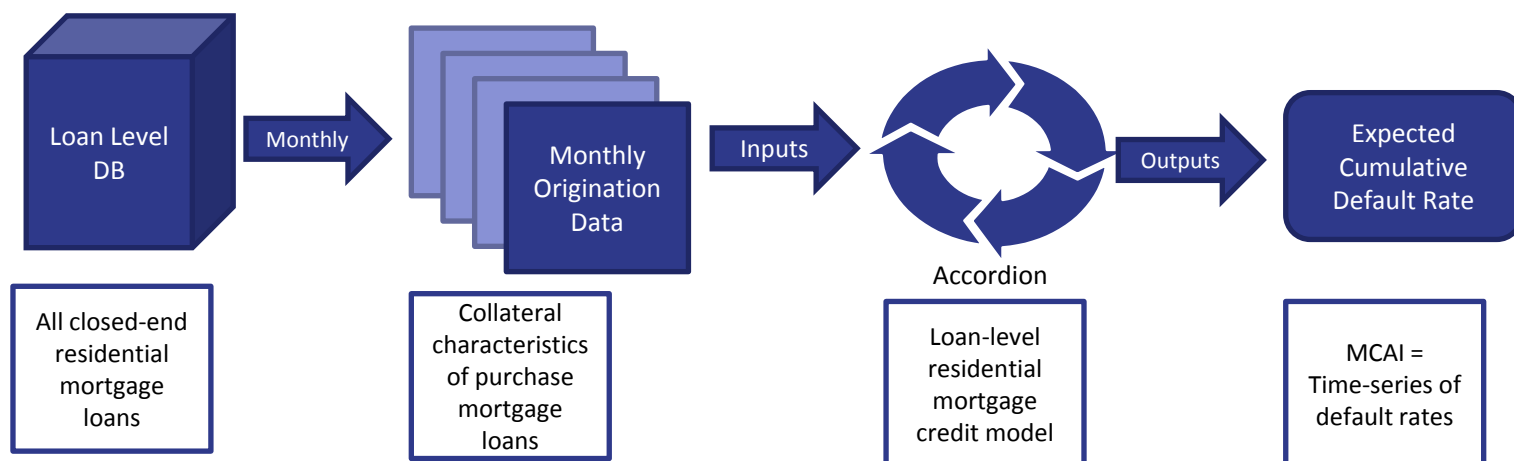


Cello's MCAI assumes that the market increases/decreases credit availability by taking on more/less mortgage default risk.

The fundamental advantage of following this method is that it provides a single comprehensive measure at any point in time that aggregates across the different risk factors that are taken into account in the typical underwriting process (FICO, LTV, DTI, etc.).

The expected default rate is a weighted average of the defaults projected over a "normal" and "stressed" environment.

CONSTRUCTING CELLO'S MORTGAGE CREDIT AVAILABILITY INDEX

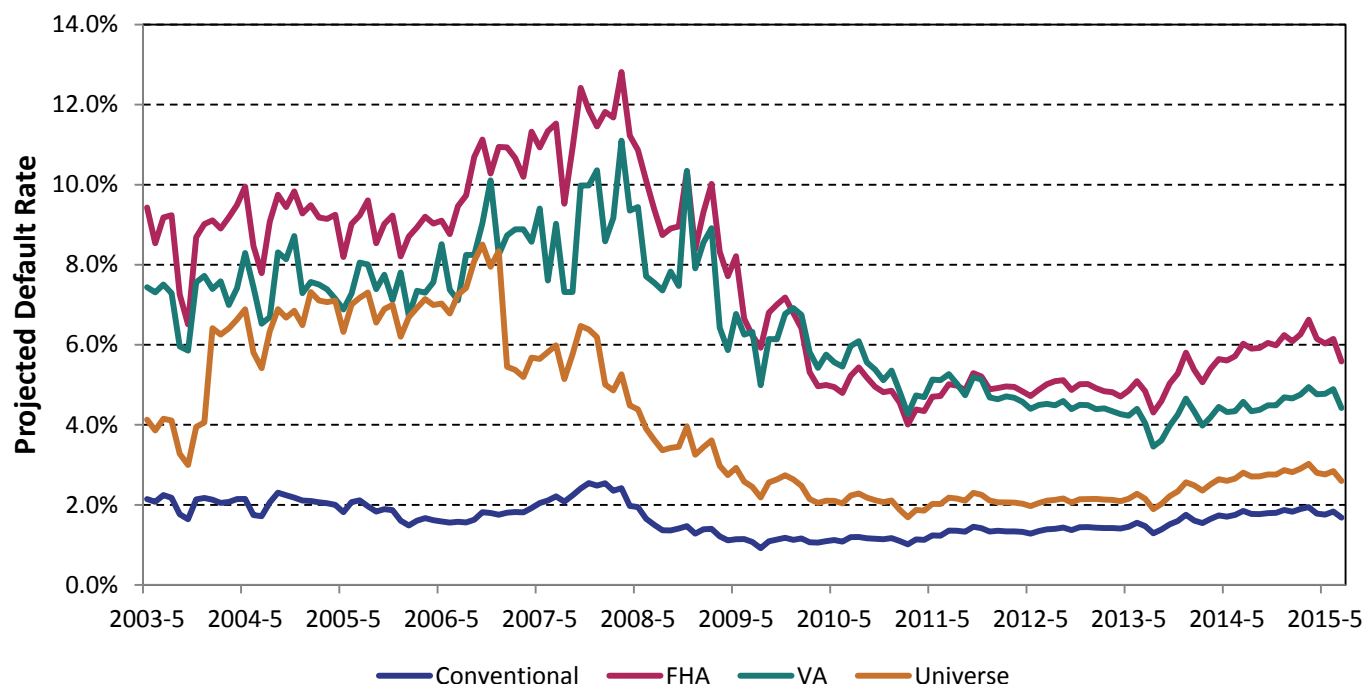


Cello's MCAI shows that, on an aggregate basis, mortgage credit availability at its 2007 peak was almost 4x its prevailing levels.

Most of the post-2007 decline in MCAI has been driven by a substantial decrease in Product Risk with a significant slump in the volume of originated Alt-A and Subprime loans.

More recently (starting 2014), there has been a gradual improvement in mortgage credit availability but overall levels are considerably lower than in the past.

CELLO'S MORTGAGE CREDIT AVAILABILITY INDEX



Several market participants have come up with alternate metrics to measure Mortgage Credit availability. Cello's methodology closely follows the HFPC Credit Availability Index although it is a little more rigorous.

MORTGAGE CREDIT AVAILABILITY MEASURES

Measure	Description
Federal Reserve Senior Loan Officer Opinion Survey	Banks are asked to indicate whether credit standards for approving mortgage loans have tightened, remained unchanged, or have eased over the past three months.
Ellie Mae Mortgage Application Denial Rate	The rate at which mortgage applications are rejected
MBA Mortgage Credit Availability Index	Based on changes in the underwriting guidelines for 95 institutional investors who purchase loans through the broker and/or correspondent channels
CoreLogic Housing Credit Index	Index based on credit scores, downpayment amounts, DTI, FRM/ARM, Documentation, Origination Channel
Zillow Mortgage Access Index	Index based on credit scores, DTIs, PMI%, Non-conforming%, Second mortgage%, 30-year FRM/10-year Treasury spread, Quotes Ratio
HFPC Credit Availability Index	Broadly similar to Cello's approach

THIS DOCUMENT IS NOT AN OFFER TO SELL OR THE SOLICITATION OF AN OFFER TO BUY SHARES OF THE FUND. AN OFFERING OF INTERESTS WILL BE MADE ONLY BY MEANS OF A CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM AND ONLY TO QUALIFIED INVESTORS IN JURISDICTIONS WHERE PERMITTED BY LAW. PAST PERFORMANCE IS NO GUARANTEE OF FUTURE PERFORMANCE.

An investment in the Fund is speculative and involves a high degree of risk. The Fund will have substantial limitations on investors' ability to redeem or transfer their shares, and no secondary market for the Fund's shares exists or will develop. All of these risks, and other important risks, are described in detail in the Fund's Confidential Private Placement Memorandum. Prospective investors are strongly urged to review this Confidential Private Placement Memorandum carefully and consult with their own financial, legal and tax advisors, before investing.

Portions of this document may contain commentary and/or data based on certain current assumptions by Cello Capital Management, LP ("Cello"), which are subject to change at any time, as well as Cello's internal complex calculations. If one or more of these assumptions or calculations is incorrect, the information contained herein may unintentionally be inaccurate.

Certain information contained herein may have been obtained by Cello from third parties. While Cello believes such sources are reliable, Cello has not verified the accuracy of such information and shall not be liable for any errors in such information or for any actions taken in reliance thereon.

Performance results referenced in this document are provided for an investor in Class A1a shares of Cello Fixed Income Master Fund, LP (the "Master Fund"). Unless otherwise noted, Performance reflects all income. Class A1a shares launched on January 1, 2012, and returns for periods prior thereto have been adjusted to reflect the management fees and performance allocations chargeable to Class A1a shares.

The Credit Suisse Fixed Income Arbitrage Hedge Fund Index is a subset of the Credit Suisse Hedge Fund Index that measures the aggregate performance of fixed income arbitrage funds. The Fixed Income Arb Index, which includes mortgage-backed securities, is part of Dow Jones Credit Suisse Hedge Fund Index. The Barclays U.S. Aggregate Index represents securities that are SEC-registered, taxable, and dollar denominated. The index covers the U.S. investment grade fixed rate bond market, with index components for government and corporate securities, mortgage pass-through securities, and asset-backed securities. The Credit Suisse All Hedge Index is an asset-weighted hedge fund index. The S&P 500 is an equity index based on the market capitalizations of 500 large US companies.

This document may also contain certain forward looking statements and projections. Such statements and projections are subject to a number of assumptions, risks and uncertainties which may cause actual results, performance or achievements to be materially different from future results, performance or achievements expressed or implied by these forward-looking statements and projections. Prospective investors are cautioned not to invest based on these forward-looking statements and projections.

This document may contain references to certain internal Cello procedures and policies which are subject to change at any time.

No information or material contained herein may be reproduced, transmitted, displayed or commercially exploited without the prior written consent of Cello. All rights are reserved.